

Matchmaking- PT1 - Bet Overview

Bet Name	Matchmaking	Team Lead	Derek Janisch	Status	Live
----------	-------------	-----------	---------------	--------	------

Bet Summary

Our strategic bet is on building a best-in-class matchmaking system, which creates more than just a product; it establishes a foundational, defensible asset for the business. By delivering a superior competitive experience, we foster a loyal player base that becomes our most effective advocate, driving powerful and low-cost user acquisition through natural word-of-mouth. This growing engagement directly fuels our business model, providing the core incentive for our subscription offerings to scale. Finally, the system reinforces the aspirational value of our entire ecosystem by serving as a talent pipeline that discovers the next generation of professional players.

Upside - The final prize

Out of the world's 1.75 billion PC gamers, the core competitive market consists of over 300 million dedicated esports enthusiasts, representing our primary addressable audience. While our success in CS2 demonstrates our capability, the true prize lies in expanding our proven matchmaking model. Our ultimate goal is to establish a successful presence in 20 major esports titles, culminating in a target of 10m MAU's. Achieving our target subscription rate of 15-20% across this user base would generate an estimated \$92-120m+ in ARR. This consistent, diversified revenue provides a direct and reliable funnel for growing our subscription base, which remains our highest priority. Matchmaking is a proven winner and the engine of our business; continuing to invest in its expansion will provide a stable foundation that allows the company to pursue innovation and take calculated risks in other areas.

Why, Why now, Why EFG - Our right to win

Vision alignment: Fully aligned with "creating worlds beyond gameplay" by providing the foundational competitive arena where individual players forge professional careers, friends form lasting communities, and the defining moments of competitive gaming unfold.

Strategic alignment: Matchmaking is the primary engine in the digital platform. Expanding our portfolio of games de-risks the business by diversifying revenue streams beyond a single title.

Strengths: Our most powerful strength is the network effect generated by achieving critical mass. Each new user makes the platform more valuable for everyone by improving queue times and match quality, creating a self-sustaining engine for organic growth.

Challenges: Our primary challenges are external, stemming from a dependency on game publishers who can be hesitant to support third-party ecosystems. Additionally, every new game we enter carries the inherent risk and resource cost of solving the "cold start" problem to build player liquidity.

Opportunities: Successfully diversifying beyond CS2 creates a powerful, data-driven playbook to prove to publishers that we improve their ecosystem.

Threats: Our core threat is the reliance on third-party IP, meaning we will always carry an inherent platform risk that is outside of our direct control.

PLAN (How to succeed) - High-level Milestone Sequencing

Phase 1 (complete): Established a deeply defensible asset in a core market (CS2). This moat is built on four pillars: powerful network effect, proprietary anti-cheat technology, trusted global brand equity, and a unique "path to pro" ecosystem.

Phase 2 (in-progress): Focus on mastering the unit economics of our core market to create a highly efficient and profitable engine. Our efforts are centered on improving our core profitability drivers: improving the value generated from each customer, driving down the direct costs of service delivery, and increasing the efficiency of our subscription funnel.

Phase 3 (future): Scale into multiple titles, leveraging our proven product and optimized economic engine to efficiently enter new ecosystems. This expansion will generate the data needed to secure strategic publisher partnerships and cement our status as the leading competitive platform.

BASE - Investment profile Next 5Y	'24	'25	'26	'27	'28
Matchmaking MAP (M)	1.34	1.35	1.59	1.85	2.0
Revenues (€M)	15.2	22.6	27.4	35.9	47.5
COGS (€M)	-5.8	-7.6	-10.2	-12.2	-13.7
Gross Profit (€M)	9.3	15.0	17.3	23.6	33.8
Internal CM3 Costs (Personnel + others)	-9.5	-7.9	-9.6	-10.8	-11.3
Cash CM3 (€M) (no software cap)	-0.2	7.1	7.6	12.8	22.5
Prospected Cumulative Cash Flows (€M)	-0.2	6.9	14.6	27.4	49.8

Matchmaking - PT2 - Bet update (2025-Q3)

Last Update Date	2-Oct 2025	Update Authors	Jeremy De SousaDerek Janisch
------------------	------------	----------------	------------------------------

KPIs (Source: Mixpanel and Looker)	Q2 2025	Trend	Q3 2025	'25 Target	'26 Target	'28 Target
Matchmaking Sub DAP (7D avg)	72k	↗	74k	72k	100k	200k
Matchmaking Daily Active Player (7d Average)	420k	↘	400k	550k	650k	1000k
Matchmaking 24h Activation	34.96%	↘	29.58%	45%	60%	80%
Matchmaking 7d Retention	21.01%	—	21.70%	25%	30%	35%

Qualitative UpdateOverall Status - ON TRACK

In Q3, our strategy was to mature our Ping-Based Matchmaking (PBMM) product to improve the core server experience for players in NA and EU. To achieve this, we executed three key initiatives: Launched a new matcher scoring system to intelligently rank and expand from best to worst the server locations for each party. Created a new location-api to centralize ping data for all party members, acting as a point of truth, ensuring optimal server selection for the party. Redesigned the server selection UI to a "server preference" model to better manage player expectations (pending release). These changes delivered significant performance improvements in our tests: EU Ping Reduction: **Average ping in Sweden was cut by 36.6%** and in **Finland by 30.7%**. NA Low-Ping Players: We increased players under **25ms ping in San Jose by an additional 6.6%** (a 34.2% total improvement).

In addition, this quarter, we (i) improved the **queue pause** feature to now automatically pause the queue for premium players when they stop queueing, with a new saved time display. (ii) We revamped the Post-Match CSAT survey (currently in test) to increase match feedback quantity and quality (iii), and we finalized the calibration API to introduce a skill calibration phase for new players; we need all other teams that consume Skills-API/Elo to migrate to our new events before calibration release.

Financially, we are tracking €1.9m behind BU25 due to a reduction in Brand Partnership revenue contributions. However, we are ahead of expectations for subscription revenue and looking to get back on plan by EOY25. COGS is also tracking €1.1m beyond BU25 due to increased infrastructure costs, but with recent Project Phoenix adjustments, we will be back on plan by EOY25.

Q4 2025 Targets

- \$ Ping-Based Matchmaking** (full release): PBMM is mature and ready for official release to our players, with plans to also allow players to 'avoid' servers they do not like and introduce a premium 'favoriting' option. We will monitor and, if required, pivot/adjust the offerings.
- \$ Veteran Matching** (v2): Veteran matching will be a 'status' earned based on your history of playing on our platform, which we will use as a qualifier for a new 'verified only' match filter, which will be default turned on for premium super match.
- \$ Solo/Duo Premium SM**: Solo/Duo is highly requested and well-regarded, and we aim to fully introduce this in our premium super match.
- Calibration (new players)**: Tackling the onboarding experience for our new players by reducing the anxiety to play their first matches on our platform. We will provide them a clear path to 'earn' their rank on FACEIT.
- Skill architecture overhaul**: Our current skill architecture blocks improvements to our skill rating system, such as having a proper season system, managing a hidden MMR value alongside a shown Elo value, etc. To go beyond our current simple, single-number per game system, we need to overhaul our core skill system to allow us to create a more compelling and competitive experience for our players.

Challenges/Blockers/Decisions

PBMM Russian/Location Director: High-cost, non-scalable servers in Russia are blocking the PBMM rollout for RU. We need to consider expanding to nearby locations (e.g. Japan) and also improve our server distribution process through the cross-team effort of the location director (target Q1.)

Seasonal: We are undertaking a foundational rework of our rating system to solve core ranking problems and enable better seasons. The key challenge is the significant cross-team execution and ensuring the new system launches with a compelling player journey and engaging rewards.

Trust score/IDV/Vet/Endorsement: We have multiple overlapping systems/ideas for player trust, which can risk confusing our users. A challenge for us to take on in the future is to consolidate these features into a single, clear, and compelling narrative for players.

Financial Update (ARR)	Annual Investment (GM3)	Profitability (GM3)	Expected YR3 Revenue / Margin Profile
€20.7M/YEAR Off Track	€8.7M/YEAR Off Track	28% On Track	€47.5M/YEAR / 47% On Track

